Practice workbook · Partnership appropriation account

Sharing profit for the year between partners, sometimes after correcting a draft profit first.

9 question parts: 1 worked-example retry and 8 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-PIR-04

1. Question 2 · part b · 8 marks

2023 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part b only.

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2 On 1 January 2022 Belen and Charo started a partnership with capital introduced of $80 000 and $90 000 respectively.

The partnership agreement provides for:

- profits and losses to be shared equally
- interest of 5% per annum on opening capital balances
- interest of 8% per annum on total drawings
- a salary of $2 000 per **month** for Charo.

(a) State **one** reason why a partnership agreement provides for:

(i) interest on capital

(1)

(ii) interest on drawings

(1)

(iii) partnership salary.

(1)

Profit for the year ended 31 December 2022 was $66 200 and the partners made the following drawings.

Partner	Cash drawings $	Goods taken for own use $
Belen	20 000	–
Charo	36 000	2 000

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1. Question 2 · part b · 8 marks

2023 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part b only.

(b) Prepare the appropriation account for the year ended 31 December 2022.

(8)

Belen and Charo
Appropriation Account for the year ended 31 December 2022

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1. Question 2 · part b · 8 marks

2023 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part b only.

(c) Prepare the following accounts for the year ended 31 December 2022. Balance each account on this date and bring the balance down on 1 January 2023.

(8)

Capital Account – Charo

Date	Details	$	Date	Details	$

Current Account – Charo

Date	Details	$	Date	Details	$

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1. Question 2 · part b · 8 marks · Working and answer

Working and answer

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2. Question 2 · part a · 7 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part a only.

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2 Taimur and Soha are in partnership. The partnership agreement provided for:

- interest on capital at 10% per annum
- interest on drawings at 5% per annum
- an annual salary of $15 000 for Taimur
- profits and losses to be shared in the ratio of 3 : 2.

The following information was available at 31 March 2020.

	Taimur $	Soha $
Capital account at 1 April 2019	75 000	50 000
Current account at 1 April 2019	4 750 Dr	3 500
Drawings for the year	20 000	16 000

(a) Prepare the appropriation account for the year ended 31 March 2020.

(7)

Taimur and Soha
Appropriation account for the year ended 31 March 2020

	$
Profit for the year	65 000

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2. Question 2 · part a · 7 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part a only.

(b) (i) Prepare the current account of Taimur for the year ended 31 March 2020.
Balance the account on this date and bring the balance down on 1 April 2020.

(6)

Current Account – Taimur

Date	Details	$	Date	Details	$

(ii) State **one** reason why a debit balance may arise on a partner's current account.

(1)

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2. Question 2 · part a · 7 marks · Working and answer

Working and answer

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3. Question 1 · part a · 5 marks

2020 NOV · Paper 02

Further practice · Attempt part a only.

1 Muneeb and Javeed are in partnership sharing profits and losses in the ratio of 2:1.

The partnership agreement provides for:

- interest on capital at 10% per annum
- an annual salary of $12 000 for Muneeb.

The partners provided the following information for the year ended 31 March 2020.

1 April 2019	**$**
Capital account Muneeb Javeed	 100 000 50 000
Current account Muneeb Javeed	 5 750 Dr 2 800
31 March 2020	
Allowance for irrecoverable debts	3 000
Cash and cash equivalents	1 145
Inventory	46 475
Other payables	600
Other receivables	1 040
Non-current assets – carrying value	100 000
Trade payables	25 850
Trade receivables	34 590
Drawings for the year Muneeb Javeed	 42 500 28 750

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3. Question 1 · part a · 5 marks

2020 NOV · Paper 02

Further practice · Attempt part a only.

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(a) Prepare the appropriation account for the year ended 31 March 2020.

(5)

Muneeb and Javeed
Appropriation account for the year ended 31 March 2020

	$	$
Profit for the year		**78 000**

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(b) Prepare the current account of Muneeb for the year ended 31 March 2020.
Balance the account on that date and bring the balance down on 1 April 2020.

(6)

Current Account – Muneeb

Date	Details	$	Date	Details	$

3. Question 1 · part a · 5 marks · Working and answer

Working and answer

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4. Question 2 · part b · 8 marks

2021 NOV · Paper 02

Further practice · Attempt part b only.

2 (a) State **one** advantage and **one** disadvantage of forming a partnership.

(2)

Advantage

.....

.....

Disadvantage

.....

.....

Able and Beena are in partnership sharing profits and losses in the ratio 3:1.

The partnership agreement also provided for:

- interest on capital at 8% per annum
- interest on drawings at 10% per annum
- an annual salary of $7 200 for Beena.

The following information was available at 1 May 2020

Account	Able $	Beena $
Capital	75 000	25 000
Current	1 500	2 750 Dr

For the year ended 30 April 2021 profit for the year was $26 550 and total drawings were Able $16 000, Beena $10 500

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4. Question 2 · part b · 8 marks

2021 NOV · Paper 02

Further practice · Attempt part b only.

(b) Prepare the appropriation account for the year ended 30 April 2021.

(8)

Able and Beena
Appropriation account for the year ended 30 April 2021

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4. Question 2 · part b · 8 marks

2021 NOV · Paper 02

Further practice · Attempt part b only.

(c) Prepare Beena's current account for the year ended 30 April 2021. Balance the account on that date and bring the balance down on 1 May 2021.

(6)

Current Account – Beena

Date	Details	$	Date	Details	$

(d) State **one** reason why a partner may have a debit balance in their current account.

(1)

.....

.....

(e) State, indicating with a tick (✓), the effect, if any, each transaction would have on a partnership's profit for the year.

(3)

Transaction	Increase	Decrease	No effect
A partner withdraws goods for their own use.			
A partner purchases stationery for the business from their own monies.			
A partner introduces capital into the business.			

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4. Question 2 · part b · 8 marks · Working and answer

Working and answer

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5. Question 2 · part a · 8 marks

2022 JUN · Paper 02

Further practice · Attempt part a only.

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2 Carl and Ming are in partnership sharing profits and losses equally. The partnership agreement also provided for:

- interest on opening capital at 8% per annum
- interest on total drawings at 9% per annum
- a salary for Ming of $18 000 per annum.

	Balances at 1 April 2021		Year ended 31 March 2022
	Capital Account $	Current Account $	Drawings $
Carl	75 000	3 150	24 000
Ming	50 000	900	26 000

On 1 January 2022 the partnership purchased a machine costing $10 000. This was fully funded by a 10% bank loan.

This transaction has not yet been entered in the books of account.

Depreciation is charged on machinery at 15% per annum using the straight-line method. A full year's depreciation is charged in the year of acquisition.

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5. Question 2 · part a · 8 marks

2022 JUN · Paper 02

Further practice · Attempt part a only.

(a) Complete the income statement and appropriation account for the year ended 31 March 2022.

(8)

Carl and Ming
Income statement and appropriation account for the year ended 31 March 2022

	$	$
Draft profit for the year		42 140
Bank loan interest		
Depreciation charge		
Updated profit for the year		
Share of profit		
Carl		
Ming		

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5. Question 2 · part a · 8 marks

2022 JUN · Paper 02

Further practice · Attempt part a only.

(b) (i) Prepare the current account of Ming for the year ended 31 March 2022.
Balance the account on this date and bring the balance down on 1 April 2022.

(8)

Current Account – Ming

Date	Details	$	Date	Details	$

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5. Question 2 · part a · 8 marks · Working and answer

Working and answer

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6. Question 2 · part c · 12 marks

2023 JUN · Paper 02

Further practice · Attempt part c only.

2 (a) Explain why it is advisable to draw up a partnership agreement when forming a new partnership.

(3)

Joan and Lewis are in partnership sharing profits and losses equally.

The partnership agreement provides for:

- interest of 8% per annum on opening capital balances
- an annual salary of $17 000 for Lewis
- interest of 5% per annum on total drawings
- interest of 6% per annum on partnership loans.

(b) Explain **one** reason why a partner may decide to provide a loan to the partnership rather than investing more capital.

(2)

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6. Question 2 · part c · 12 marks

2023 JUN · Paper 02

Further practice · Attempt part c only.

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The partners provided the following information.

At 1 January 2022	$
Capital account	
Joan	85 000
Lewis	75 000
Current account	
Joan	2 760
Lewis	3 900
Partnership loan	
Lewis	10 000
At 31 December 2022	
Cash drawings	
Joan	5 000
Lewis	7 000

The draft profit for the year ended 31 December 2022 was $56 800 before adjusting for the following errors and omissions.

- Lewis's annual salary had been included in staff salaries.
- Goods taken by Joan for her own use $1 000
- Interest on the partnership loan.

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6. Question 2 · part c · 12 marks

2023 JUN · Paper 02

Further practice · Attempt part c only.

(c) Prepare the appropriation account for the year ended 31 December 2022.

(12)

Joan and Lewis
Appropriation account for the year ended 31 December 2022

	$	$
Draft profit for the year		**56 800**
Adjusted profit for the year		

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6. Question 2 · part c · 12 marks

2023 JUN · Paper 02

Further practice · Attempt part c only.

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(d) Prepare the current account of Lewis for the year ended 31 December 2022. Balance the account on this date and bring the balance down on 1 January 2023.

(8)

Current Account – Lewis

Date	Details	$	Date	Details	$

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(Total for Question 2 = 25 marks)

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6. Question 2 · part c · 12 marks · Working and answer

Working and answer

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7. Question 1 · part a.ii · 5 marks

2024 JUN · Paper 02

Further practice · Attempt part a.ii only.

1 Ahmed and Malik are in partnership sharing profits and losses equally.

Their partnership agreement allows for interest on capital at 5% per annum and a partnership salary to Ahmed of $10 000 per annum.

The partners provided the following information for the year ended 31 March 2024.

Account	$
Capital accounts – Ahmed – Malik	50 000 30 000
Current accounts – Ahmed – Malik	4 500 8 600
Carriage inwards	645
Carriage outwards	1 300
Discount allowed	678
Discount received	663
Drawings – Ahmed – Malik	3 600 2 800
Motor expenses	1 854
Motor vehicles – cost	35 000
Motor vehicles – provision for depreciation	15 000
Opening inventory	12 260
Purchase returns	3 298
Purchases	86 321
Rent, rates and insurance	9 750
Revenue	192 000
Trade payables	23 921
Trade receivables	36 000
Wages and salaries	44 448

Additional information

- Closing inventory was valued at $14 265
- On 31 March 2024, rates, $500, were owing and insurance, $250, was paid in advance.
- Depreciation is charged on motor vehicles at 25% per annum using the reducing balance method.
- A provision for irrecoverable debts of 2% of trade receivables is to be created.

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7. Question 1 · part a.ii · 5 marks

2024 JUN · Paper 02

Further practice · Attempt part a.ii only.

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(a) (i) Prepare the income statement for the year ended 31 March 2024.

(15)

Ahmed and Malik
Income statement for the year ended 31 March 2024

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P 7 5 8 3 9 A 0 3 1 2

7. Question 1 · part a.ii · 5 marks

2024 JUN · Paper 02

Further practice · Attempt part a.ii only.

(ii) Prepare the appropriation account for the year ended 31 March 2024. (5)

Ahmed and Malik
Appropriation Account for the year ended 31 March 2024

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7. Question 1 · part a.ii · 5 marks

2024 JUN · Paper 02

Further practice · Attempt part a.ii only.

The partners are considering introducing a third partner.

(b) Explain to the partners the advantages and disadvantages of this proposal, advising them whether they should proceed with the introduction of a third partner.

(5)

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(Total for Question 1 = 25 marks)

7. Question 1 · part a.ii · 5 marks · Working and answer

Working and answer

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8. Question 2 · part a · 5 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

2 Victoria and Albert are in partnership, sharing profits and losses equally. Their partnership agreement also provides for interest on capital and interest on drawings at 5% per annum, a salary for Victoria of $1 000 per month and no interest on partnership loans.

On 30 April 2025, they provided the following trial balance after the preparation of the income statement for the year.

Victoria and Albert
Trial Balance at 30 April 2025

	Debit $	Credit $
Allowance for doubtful debts		500
Bank		10 570
Capital accounts at 1 May 2024		
– Victoria		50 000
– Albert		30 000
Closing inventory	14 320	
Current accounts at 1 May 2024		
– Victoria		3 500
– Albert	2 300	
Drawings		
– Victoria	1 800	
– Albert	1 200	
Fixtures and fittings		
– Cost	50 000	
– Provision for depreciation		10 000
Land and buildings (valuation)	100 000	
Motor vehicles		
– Cost	30 000	
– Provision for depreciation		15 000
Other receivables and other payables	350	650
Partnership loan – Albert (repayable December 2025)		8 000
Petty cash	250	
Profit for the year		80 000
Trade receivables and trade payables	20 000	12 000
	220 220	220 220

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8. Question 2 · part a · 5 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

(a) Prepare the appropriation account for the year ended 30 April 2025.

(5)

Victoria and Albert
Appropriation Account for the year ended 30 April 2025

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Turn over ▶

8. Question 2 · part a · 5 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

(b) Prepare the statement of financial position at 30 April 2025.

(15)

Victoria and Albert
Statement of Financial Position at 30 April 2025

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8. Question 2 · part a · 5 marks · Working and answer

Working and answer

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9. Question 9 · part whole · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part whole only.

9 What are the entries to record interest on a partner's loan?

		Account to be debited	Account to be credited
☒	**A**	Appropriation	Current
☒	**B**	Current	Appropriation
☒	**C**	Current	Income statement
☒	**D**	Income statement	Current

(Total for Question 9 = 1 mark)

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Working and answer

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